

result is that the bigger funds are forced to limit themselves to the top 90 to 100 companies, out of the 10,000 or so that are publicly traded.

Let's say you manage a \$1-billion pension fund, and to guard against diverse performance, you're required to choose from a list of 40 approved stocks, via the Inspected by 4 method. Since you're only allowed to invest five percent of your total stake in each stock, you've got to buy at least 20 stocks, with \$50 million in each. The most you can have is 40 stocks, with \$25 million in each.

In that case you have to find companies where \$25 million will buy less than ten percent of the outstanding shares. That cuts out a lot of opportunities, especially in the small fast-growing enterprises that tend to be the tenbaggers. For instance, you couldn't have bought Seven Oaks International or Dunkin' Donuts under these rules.

Some funds are further restricted with a market-capitalization rule: they don't own a stock in any company below, say, a \$100-million size. (Size is measured by multiplying the number of outstanding shares by the current stock price.) A company with 20 million shares outstanding that sell for \$1.75 a share has a market cap of \$35 million and must be avoided by the fund. But once the stock price has tripled to \$5.25, that same company has a market cap of \$105 million and suddenly it's suitable for purchase. This results in a strange phenomenon: large funds are allowed to buy shares in small companies only when the shares are no bargain.

By definition, then, the pension portfolios are wedded to the ten-percent gainers, the plodders, and the regular Fortune 500 bigshots that offer few pleasant surprises. They almost have to buy the IBMs, the Xeroxes, and the Chryslers, but they'll probably wait to buy Chrysler until it's fully recovered and priced accordingly. The well-respected and highly competent money management firm of Scudder, Stevens, and Clark stopped covering Chrysler altogether right before the bottom (\$3½) and didn't resume coverage until the stock hit \$30.

No wonder so many pension-fund managers fail to beat the market averages. When you ask a bank to handle your investments, mediocrity is all you're going to get in a majority of the cases.

Equity mutual funds such as mine are less restricted. I don't have to buy stocks from a fixed menu, and there's no Mr. Flint hovering over my shoulder. That's not to say that my bosses and overseers at Fidelity don't monitor my progress, ask me challenging questions, and periodically review my results. It's just that nobody tells me I must own Xerox, or that I can't own Seven Oaks.

My biggest disadvantage is size. The bigger the equity fund, the harder it gets for it to outperform the competition. Expecting a \$9-billion fund to compete successfully against an \$800-million fund is the same as expecting Larry Bird to